FAO. The Court
C/o Davison Flynn Duke
Chester Street
Birkenhead
CH41 5DL

ADDENDUM REPORT – SALVAGE VALUATION

Supplementary to the Total Loss Report dated 28 May 2026

RE: Road Traffic Accident – Mohammad Osman – 13/05/2026
Vehicle: Skoda Octavia SE First Edition, registration NC71TWK

Dear Sirs

Introduction

1. This addendum should be read together with my Total Loss Report of 28 May 2026, prepared under the above reference. The pre-accident valuation, the damage assessment and the methodology set out in that report remain unchanged, and I do not repeat them here save where it is necessary to do so.
2. I have been asked to comment further on the salvage valuation, following representations made by the Defendant's insurer. As in my original report, my overriding duty is to the court and not to the party by whom I am instructed. This addendum is prepared in accordance with that duty and with Part 35 of the Civil Procedure Rules and its accompanying Practice Direction.

The matter in issue

3. In my report I assessed the salvage value of the vehicle at £574.40, giving a net settlement of £10,913.60 against a pre-accident value of £11,488.00. The Defendant's insurer has indicated that, on the same pre-accident value, it would expect a salvage figure in the region of £3,273.60, and has reserved its position pending evidence of the sum actually realised.
4. I have reconsidered the matter in the light of those representations. My opinion is unchanged, for the reasons that follow.

Open market value rather than contracted salvage rates

5. The figure put forward by the Defendant is, in my experience, of the order that a vehicle of this kind would attract through a salvage contractor operating under a national volume agreement. A bid of that nature reflects the commercial terms agreed between an insurer and its appointed salvage purchaser, including the throughput of vehicles handled under that arrangement. It is not a figure that is available to an individual claimant disposing of a single vehicle.
6. The Claimant's loss falls to be measured by reference to the sum that could reasonably be realised for the salvage on the open market, and not by reference to trade arrangements to which the Claimant is not a party and from which the Claimant derives no benefit. To apply the Defendant's own contracted rate would understate the loss and would not, in my opinion, provide the Claimant with the indemnity to which they are entitled.

The condition and history of this vehicle

7. A salvage valuation cannot properly be arrived at by applying a single fixed percentage of the pre-accident value to every vehicle. The sum that can be realised depends on the individual vehicle, its condition and its recorded history. Three features of this vehicle each act to reduce that sum.

8. First, this is a repeat total loss. The Experian and MIAFTR records disclose an earlier Category S total loss, the loss dated 3 August 2025 and the register entry dated 15 August 2025. A vehicle carrying a recorded Category S total loss draws from a markedly smaller pool of buyers and commands a correspondingly lower price, whether sold for onward repair or for dismantling, because the market discounts heavily for a history of that kind.

9. Second, the present damage is heavy. The impact is to the front of the vehicle and the assessed cost of repair, at £12,050.06, already exceeds the pre-accident value. Where the cost of repair has passed the value of the vehicle, the residual worth of the wreck is limited and is governed principally by the value of the undamaged, recoverable components rather than by any realistic prospect of economic repair.

10. Third, latent damage is to be expected. My inspection established heavy frontal impact damage and, as recorded in my report, the full extent cannot be confirmed without dismantling. On a vehicle of this type, and with damage of this severity, it is likely that further damage will come to light on strip-down, taking the true cost of repair beyond the figure already assessed. A purchaser pricing the vehicle on the open market would factor in the prospect of that additional, as-yet-unquantified damage, to the further detriment of the sum realised.

11. Taken together, a previous Category S total loss, frontal damage with a repair cost in excess of value, and the realistic prospect of further damage on dismantling, all point to a vehicle whose open-market salvage value is low.

Conclusion

12. For the reasons given, I remain of the opinion that £574.40 is a fair and reasonable assessment of the salvage value of this vehicle on the open market, and that the resulting settlement of £10,913.60 properly reflects the Claimant's loss. The higher figure suggested by the Defendant appears to rest on contracted salvage rates that do not represent the value available to the Claimant and that take no account of the particular history and condition of this vehicle. Should the salvage be marketed and a different sum achieved, that sum can be considered at that stage; on the information presently available, my opinion is as set out above and in my original report.

Expert's Declaration

I understand that my duty in providing this report is to the court and that this duty overrides any obligation to the party by whom I am instructed. I confirm that I have complied with, and will continue to comply with, that duty.

Statement of Truth

I confirm that I have made clear which facts and matters referred to in this report are within my own knowledge and which are not. Those that are within my own knowledge I confirm to be true. The opinions I have expressed represent my true and complete professional opinions on the matters to which they refer. I understand that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Yours faithfully

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Date: 1st June 2026